

FORM TP 2016186



TEST CODE **02216020**

MAY/JUNE 2016

CARIBBEAN EXAMINATIONS COUNCIL

CARIBBEAN ADVANCED PROFICIENCY EXAMINATION®

ECONOMICS

UNIT 2 – Paper 02

2 hours 30 minutes

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

1. This paper consists of THREE sections: I, II and III.
2. There are TWO questions in each section. Candidates MUST answer THREE questions, ONE from EACH section.
3. Write your answers in the spaces provided at the end of each section in this booklet.
4. Do NOT write in the margins.
5. You may use a silent, non-programmable calculator to answer questions.
6. If you need to rewrite any answer and there is not enough space to do so on the original page, you must use the extra lined page(s) provided at the back of this booklet. **Remember to draw a line through your original answer.**

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SECTION I

MODULE 1: MODELS OF THE MACROECONOMY

Answer ONE question.

1. (a) (i) Define the term 'equilibrium level of output'. [2 marks]
- (ii) Outline TWO factors that could account for the volatility of investment spending. [4 marks]
- (b) Differentiate between the 'investment curve' and the 'investment demand curve' for an economy. [4 marks]
- (c) Table 1 shows the expected rate of return and the volume of investment, in millions, for a country.

TABLE 1

Expected Rate of Return of Return (%)	Volume of Expected Investment (millions) (\$)
11	55
10	75
8	90
5	125
3	150
1	190

- (i) Explain why the information in Table 1 essentially describes an investment demand curve. [3 marks]
- (ii) Using the information in Table 1, graph the investment demand curve. [4 marks]
- (d) Discuss TWO ways in which businesses adjust their level of inventory investment if the level of GDP is in disequilibrium. [8 marks]

Total 25 marks

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2. (a) Describe the relationship between the marginal propensity to consume (MPC) and marginal propensity to save (MPS). **[2 marks]**
- (b) Table 2 shows the levels of GDP (disposable income) and savings in an economy.

TABLE 2

GDP (Disposable Income) (\$)	Consumption	Savings (\$)	APC
480		-8	
520		0	
560		8	
600		16	
640		24	
680		32	
720		40	
760		48	
800		56	

Copy and complete Table 2 to show the 'consumption' and the 'average propensity to consume' (APC).

[6 marks]

- (c) (i) From your completed Table 2, draw ONE graph to show the consumption schedule and ONE graph to show the saving schedule. **[8 marks]**
- (ii) Determine the break-even level of income. **[1 mark]**
- (d) Discuss TWO ways in which the economy adjusts withdrawals if the level of GDP is in disequilibrium. **[8 marks]**

Total 25 marks



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Question No.

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1. The first step is to identify the problem or question that needs to be answered. This involves understanding the context and the specific requirements of the task.

2. The second step is to gather relevant information and data. This can involve research, consultation with experts, or collecting data from various sources.

3. The third step is to analyze the information and data collected. This involves identifying patterns, trends, and relationships that can help in understanding the problem.

4. The fourth step is to develop a solution or answer. This involves applying the knowledge and skills gained from the previous steps to create a response that addresses the problem.

5. The fifth step is to evaluate the solution or answer. This involves checking the results against the original problem and requirements to ensure that the solution is effective and accurate.

6. The sixth step is to communicate the solution or answer. This involves presenting the findings in a clear and concise manner that is easy for others to understand.

7. The seventh step is to reflect on the process. This involves thinking about what was learned from the experience and how it can be applied to future problems.

8. The eighth step is to document the process. This involves creating a record of the steps taken and the results achieved, which can be used for future reference.

9. The ninth step is to review the process. This involves looking back at the entire process to see if there were any areas for improvement or if the solution was successful.

10. The tenth step is to conclude the process. This involves finalizing the solution and ensuring that all requirements have been met.

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SECTION II

MODULE 2: MACROECONOMIC PROBLEMS AND POLICIES

Answer ONE question.

3. (a) (i) Define the term 'inflation' and state how it is measured. [3 marks]
- (ii) State FOUR challenges in measuring inflation accurately. [4 marks]
- (b) Differentiate between 'cost-push inflation' and 'demand-pull inflation'. [4 marks]
- (c) Describe TWO ways in which inflation impacts a country's balance of payments. [6 marks]
- (d) Discuss ONE positive and ONE negative effect of inflation on an economy. [8 marks]

Total 25 marks

4. (a) (i) State THREE functions of money. [3 marks]
- (ii) Outline TWO motives for holding money. [4 marks]
- (b) Explain TWO ways in which the fluctuating value of money affects an economy. [6 marks]
- (c) Outline TWO ways in which a surplus of money affects the money market. [4 marks]
- (d) The widespread use of credit cards has resulted in huge debts as people spend far more than they earn. Discuss TWO potential economic consequences of a large increase in consumer spending. [8 marks]

Total 25 marks

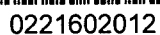
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SECTION III

**MODULE 3: GROWTH, SUSTAINABLE DEVELOPMENT
AND GLOBAL RELATIONS**

Answer ONE question.

5. (a) Explain what is meant by a 'current account deficit'. [3 marks]
- (b) Explain TWO ways in which Caribbean countries could improve performance on their current account. [6 marks]
- (c) Outline TWO ways in which EACH of the following policies may be used to correct balance of payments disequilibrium.
- (i) Expenditure-switching [4 marks]
- (ii) Expenditure-reducing [4 marks]
- (d) Discuss ONE positive and ONE negative effect of a current account deficit on a country. [8 marks]

Total 25 marks

6. (a) (i) Explain the theory of comparative advantage. [3 marks]
- (ii) Describe the trade patterns in the Caribbean. [2 marks]
- (b) Describe TWO advantages and TWO disadvantages of regional trading groups, such as North American Free Trade Agreement (NAFTA). [12 marks]
- (c) Discuss the effectiveness of devaluation and quota policies in addressing trade deficits. [8 marks]

Total 25 marks



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IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.

RESEARCH DESIGN AND METHODS

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